

Prediction Markets:

You've got *Options*



Prediction markets offer a variety of products designed to help the public forecast, plan for, hedge, and even harness perceptions of future events. The products traded on CFTC-regulated prediction markets are typically structured as *swaps*. They allow customers to take a financial position on the yes-or-no outcome of a future event, multiple-choice outcomes, or ranges of outcomes. Contracts are settled following the event's real-world outcome.

Unique Features & Protections

Market Integrity: CFTC-regulated exchanges and intermediaries must clear a stringent application process to operate or provide access to U.S. markets and are subject to periodic examinations thereafter. Exchanges must comply with numerous core principles and rules designed to promote market integrity and prevent misconduct such as market manipulation and insider trading.

Transparent Market-Driven Prices: A contract's price reflects traders' perceived probability of the event outcome. In most cases, order books show real-time customer bid and ask prices.

Markets Indifferent to Outcomes: CFTC-regulated exchanges, brokers, or other intermediaries that provide access to prediction markets do not take a side of the trade. They provide a platform for trading and are not competing against you.

Market Access Consistency: Prediction markets are federally regulated, and under federal law, can operate in all 50 states. CFTC-regulated exchanges and intermediaries are prohibited from arbitrarily banning qualified customers from participating in the markets.

Contract Liquidity: Rather than being locked in their position, customers can trade in and out of their position prior to settlement at the current market price to lock in gains or limit losses.

Layers of Oversight & Accountability: As self-regulatory organizations, each CFTC-regulated exchange is required to establish and enforce its own rules for trading and is responsible for monitoring its trading activity for anomalies and abuses, such as insider trading. The National Futures Association provides an additional layer of rules and enforcement for brokers and other intermediaries. The CFTC oversees the market landscape, conducts market surveillance and supervision, and has broad enforcement authorities to ensure compliance with applicable laws and regulations.

Best Practices for Customers

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| Only trade with CFTC-registered entities | Only use the official websites and apps of exchanges and intermediaries |
| Review exchange rulebooks and contract terms before trading | Never risk more than you can afford to lose |
| Avoid unregulated or offshore exchanges, as these fall outside the CFTC's jurisdiction | Be cautious of promises of big payoffs |

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